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TALLY ERP 9

From

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WHAT IS TALLY

- Tally is an ERP accounting software package used for recording day to day business data of a company. The latest version of Tally is Tally ERP 9.
- Tally.ERP 9 is one best accounting software that can integrated with other business applications such as Sales, finance, Purchasing, Payroll, Inventory, etc.
- Tally software stores all the business transactions of each account in detail. Tally ERP eliminates and rectifies possible errors.



○ **Features of Tally**

- Tally ERP 9 supports multi languages, so it is called as multi-lingual tally software. Accounts can be maintained in one language and reports can be viewed in another language.
- You can create and maintain accounts up to 99,999 companies.
- Using payroll feature, you can automate employee records management.
- Tally has feature of synchronization, the transactions maintained in multiple locations offices can be automatically updated.
- Generate consolidated financial statements as per requirements of company.
- Managing single and multiple groups are very important features of tally.



VERSIONS OF TALLY

- The first version of Tally was **Tally 4.5** and it was released in 1990's. It is a MS-Dos based software.
- The second version of Tally was **Tally 5.4** and it was released in 1996. It was a graphic interface version.
- **Tally.ERP 9** is the latest version of Tally and released in 2009. This latest Tally ERP 9 package offering maximum features for small business industries to large business industries. It also updated with new features of GST (Goods & Services Tax).



○ Advantages of Tally ERP 9

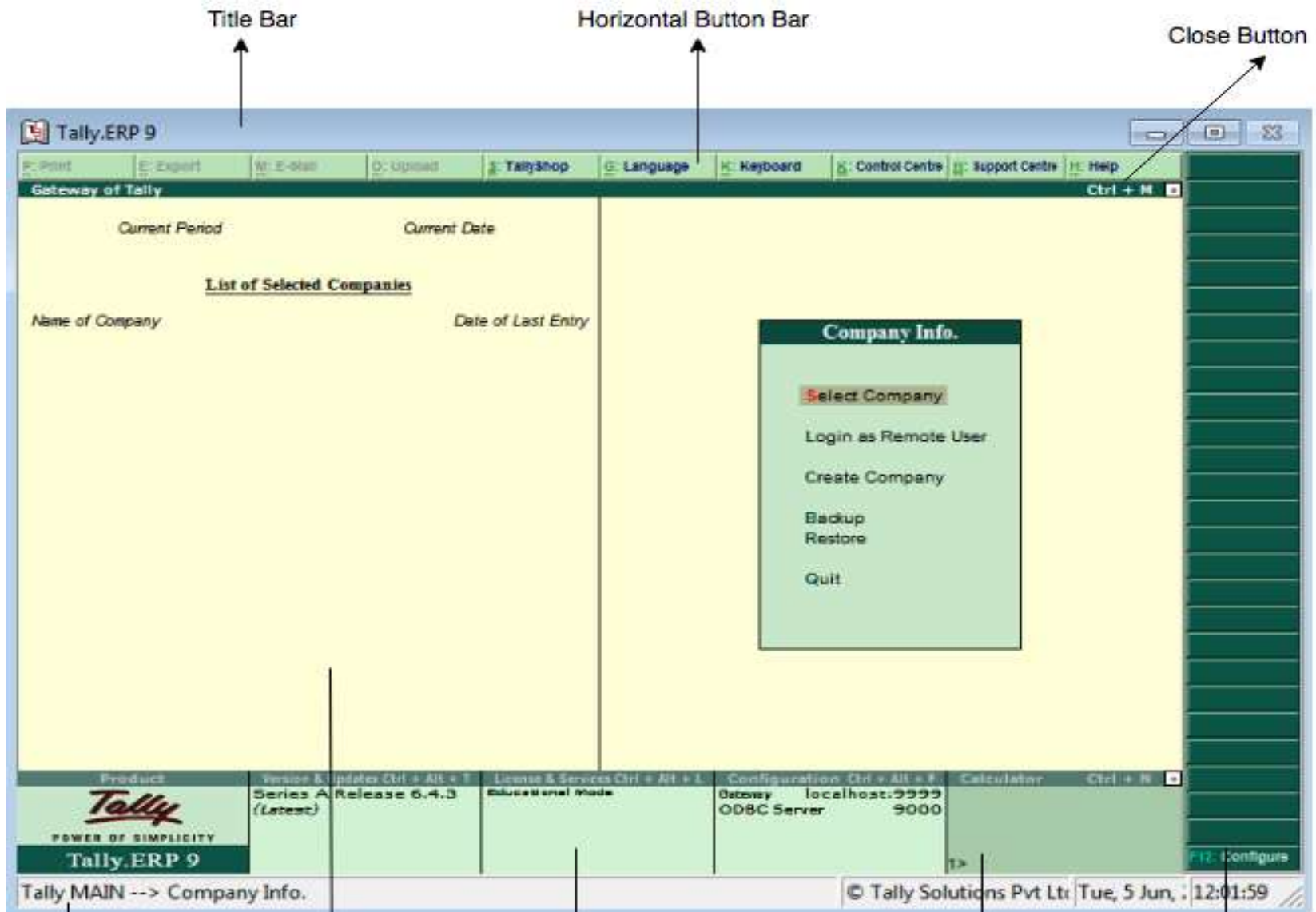
- Tally ERP 9 software is a low cost of ownership and it can be easily implement and customize.
- Supports multi operating systems such as Windows & Linux and can be installed on multiple systems.
- Tally software utilizes very low space for installation and the installation of tally is an easy method.
- It is built in back up and restore, so the user can easily backup all companies data in a single directory, in a local system disk.
- Supports all types of protocols such as HTTP, HTTPS, FTP, SMTP, ODBC, etc.
- Supports multi languages including 9 Indian language. The data can be entered in one language and you can generate invoices, Po's, delivery notes, etc in other language.



TALLY SCREEN COMPONENTS

- **Tally Screen Components** – After you startup the Tally ERP 9 Application, the welcome home screen of Tally ERP 9 – Power of Simplicity displays on the screen during the Tally software loading on compute system.
- After loading the Tally software, the Tally ERP.9 startup screen displays on the screen as shown below.
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Task Bar

Gateway of Tally

Info Pannel

Calculation Area

Button Tool Bar



- The home screen of Tally ERP 9 contains the following components
- Title Bar
- Horizontal Button Bar
- Close Button
- Gateway of Tally
- Buttons Toolbar
- Calculator area
- Info Panel
- Data and Time

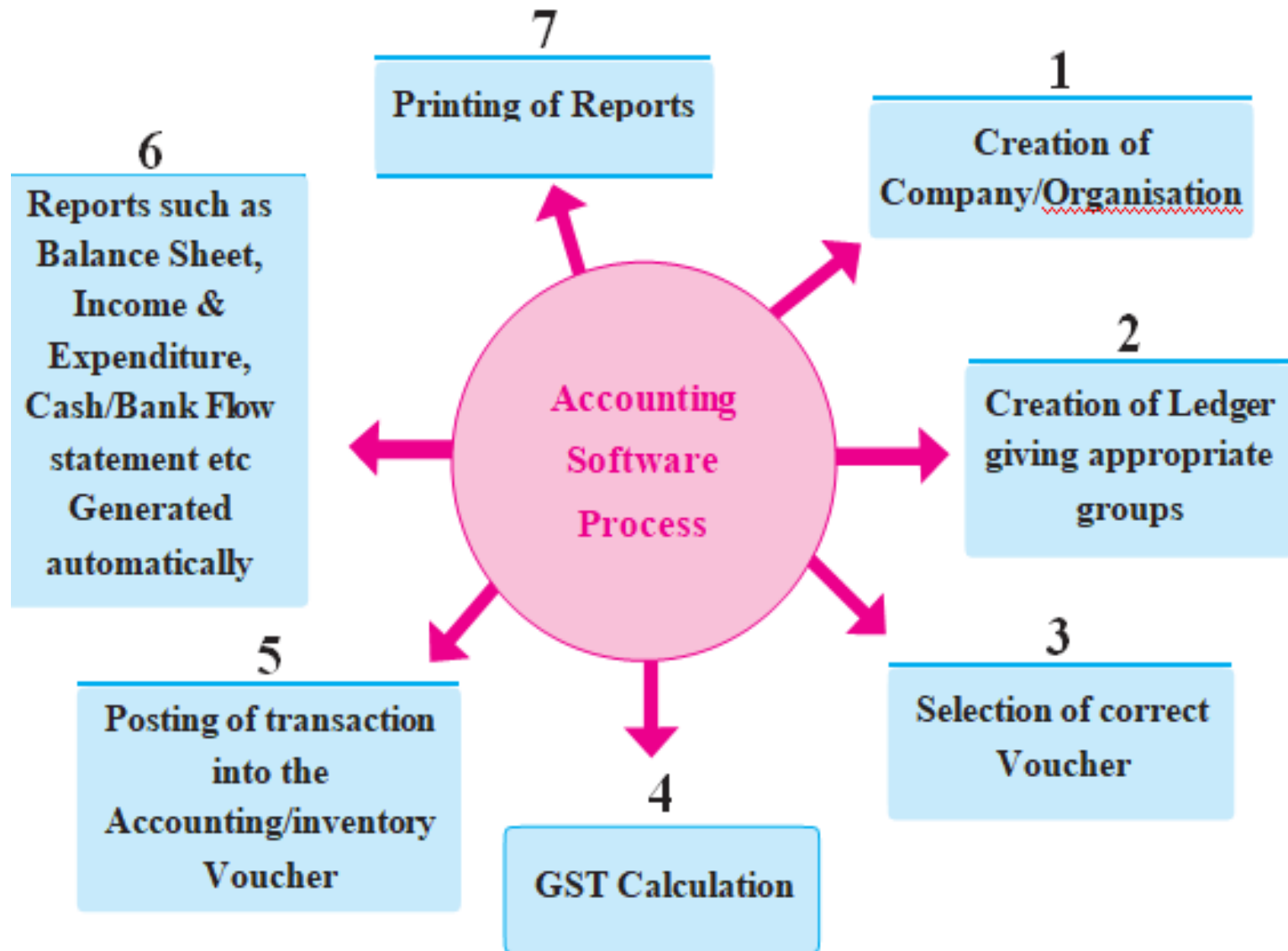


- **Complete details of Tally Screen Components**
 - **Title Bar:** It displays the Tally software that you are using.
 - **Horizontal Button Bar:** It helps to choose Language, Keyboard settings, Control centre, support centre and Help.
 - **Close Button:** By click on this button or ctrl+m, tally window closes
 - **Task Bar:** Displays the task of Tally ERP 9
 - **Gateway of Tally:** It displays menu, screen, reports
 - **Info Pannel:** Information panel displays the tally version, license details and configuration details
 - **Calculation Area:** Calculation area will be used for calculation functions.
 - **Buttons Tool Bar:** It displays the buttons that enables for immediate interaction with Tally.ERP 9. It displays only the buttons that are applicable to the current task.
 - **Date and Time:** Displays current data and time.
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Fig. 3.1 : Working of accounting software

Process of Accounting Software



LEDGERS

- A ledger is a book or digital record containing bookkeeping entries. Ledgers may contain detailed transaction information for one account, one type of transaction
- Ledgers are also known as the second book of entry.
- Ledgers contain the necessary information to prepare financial statements.



VOUCHER

- : A voucher is a pre-numbered accounting document used for recording daily transactions. Every voucher maintains its debit and credit record. There are pre-defined voucher types for every type of transaction. Care must be taken to select appropriate Voucher Type otherwise there might be an error in Gross/Net Profit/Loss.



GST :

- GST stands for Goods and Services Tax.
- **France** was the first country to implement the GST in 1954, and since then **160** countries have adopted this tax system.
- **GST** is an Indirect Tax which has replaced many Indirect Taxes in India.
- In India the GST Act came into effect on **1st July 2017**.
- The GST replaced existing multiple taxes by the central and state governments.
- GST is one nation, one tax, one market.
- ☐ **Goods**: Means every kind of movable property other than money and securities.
- ☐ **Services**: These are the activities provided by other people, who include doctors, lawn care workers, dentists, barbers, waiters, online servers, consultants, chartered accountants.
- ☐ **Tax**: A compulsory contribution to state revenue, levied by the government.



Upon implantation, the GST replaced the following central taxes:

- Service tax
- Duties of excise
- Central excise duties
- Cesses and surcharge
- Additional duties of excise
- Additional duties of customs
- Additional duty of customs

GST services also subsumed the following state taxes:

- Entry tax
 - Purchase tax
 - Luxury tax
 - State VAT
 - Central sales tax
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GSTIN :

- Goods and Services Tax Identification Number (GSTIN)
- It is the registration number allotted to every registered dealer under GST Act.
- The GSTIN is a 15 digit PAN based registration number. You may register multiple businesses under the same PAN registration, provided they are all within the same state.



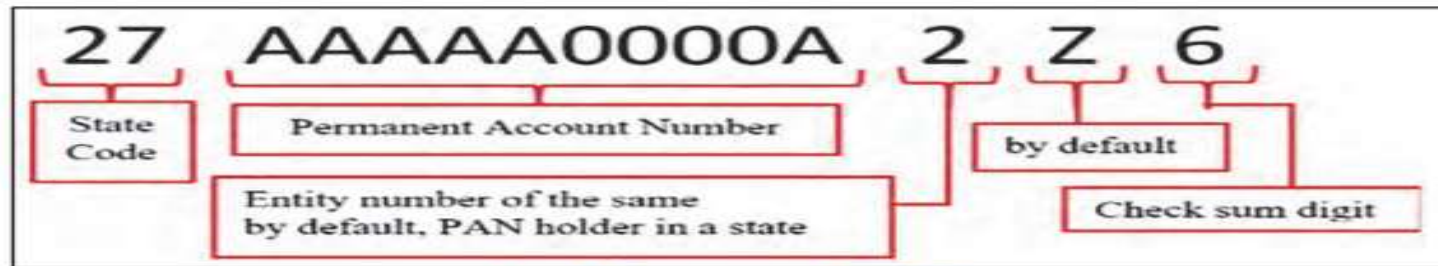


Fig. 3.8 Structure of GSTIN

Here is a format break-down of the GSTIN:

The first two digits represent the state code as per [Indian Census 2011](#). Every state has a unique code. For instance,

- 1] State code of Maharashtra is 27
- 2] The next ten digits will be the PAN number of the taxpayer.
- 3] The thirteenth digit will be assigned based on the number of registration within a state
- 4] The fourteenth digit will be “Z” by default.
- 5] The last digit will be for check code. It may be an alphabet or a number.



HSN CODE

- The purpose of HSN codes is **to make GST systematic and globally accepted**. HSN codes will remove the need to upload the detailed description of the goods. This will save time.
- HSN stands for Harmonised System of Nomenclature code.
- It is mandatory for both B2B and B2C tax invoices on the supplies of Goods and Services.
- This was introduced in 1988 by the World Customs Organization (WCO).
- This was introduced for a systematic classification of goods both national and international.
- This is a 8 digit code that classifying goods all over the world in a systematic and logical manner.
- India has been using HSN codes since 1986



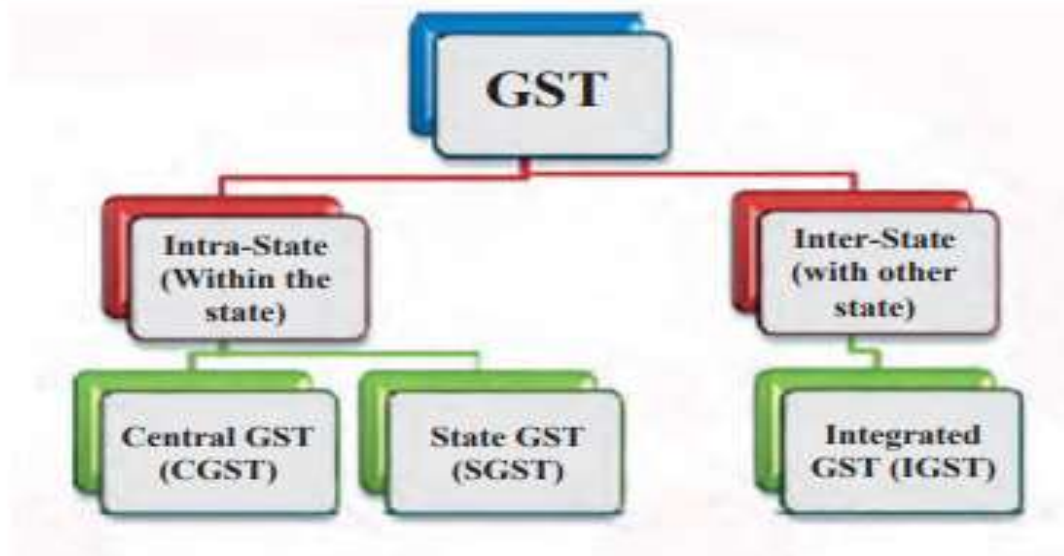
SAC CODE

- SAC stands for **Services Accounting Code**, which is issued by **CBEC**(Central Board of Excise and Customs) to uniformly classify each service under GST.
- Each service has a unique SAC.
- The first two digits are same for all services i.e. 99,
- example of **SAC code 9954**.



- The main difference between HSN and SAC codes is that
- **HSN codes are meant only specifically for goods and services,**
- **and SAC codes specify for services only.**
- Other, difference is in the number of digits in their code and their relevance.
- Example - HSN Code is an 8-digit code, and SAC code is a 6-digit code.





Types of taxes under GST

There are currently three **types of GST**

- **CGST** – Central GST – Applies to sales within the state – goes to Central Government
- **SGST** – State GST – Applies to sales within the state – goes to State Government
- **IGST** – Integrated GST – Applies to sales outside the state – goes to Central Government



- GST Rates :
- The government has proposed a 4-tier tax structure for all goods and services under the slabs- 5%, 12%, 18% and 28%.
- 7% items are exempted from GST,
- whereas, 14% items have 5% GST tax slab
- 17% items have 12% GST tax slab.
- Around 43% items have 18% GST slab rate and
- 19% items have 28% GST slab rates.
- There is zero % tax imposed on items such as, milk, sugar, salt, eggs, bread butter milk, curd, natural honey, fresh fruits and vegetables, jute, fresh meat, fish, chicken, stamps, judicial papers, printed books, newspapers, bangles, handloom.



INPUT TAX AND OUTPUT TAX

- Input taxes are taxes that you have to pay when you purchase materials (input for production).
- GST on Inward Supply of goods and services is known as Input Tax. Input tax shall be specifically named as Input IGST or Input CGST or Input SGST.
- Output taxes are taxes that you would be charging the customer while selling materials that are sold (output of your production).
- GST on Outward Supply of goods and services is known as Output Tax. The output tax may be specifically named as Output IGST/Output CGST/Output SGST

